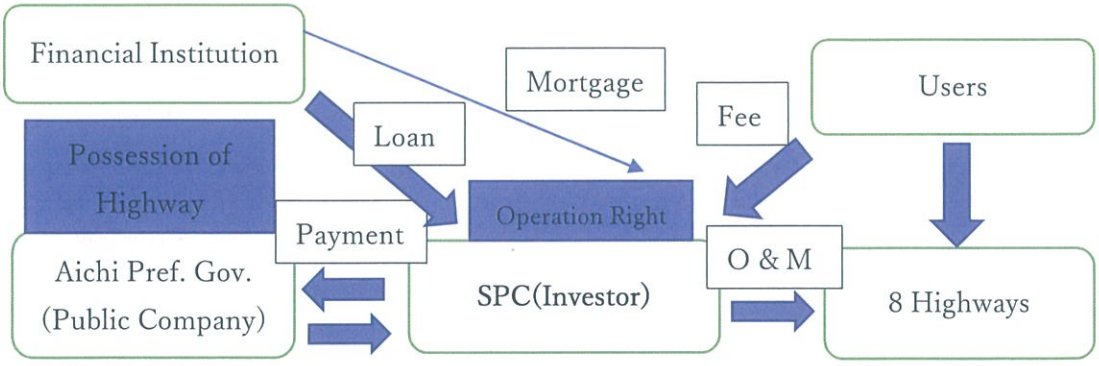
**Comment on Article 82 of PPP Law (Mechanism for Sharing Revenue Surplus and Shortfall)**

1. Introduction of actual example of Revenue Sharing in Japan (Aichi Expressway Model)

1) Aichi Road Company, hereinafter called as ARC, is a Special Purpose Company (SPC) to upgrade, operate and manage 8 expressways in Aichi Prefecture in Japan.
2) The contract made into between the Public Company belonging to Aichi Prefectural Government (hereinafter called as Public Company) and SPC is named as Concession Contract which is a part of PPP contracts in Japan.
3) ARC was awarded the contract through a tender organized by the Pubic Company.
4) In the Concession Contract, the public facilities and infrastructures are continuously possessed by the Public Company or Government organization and the operation and management of those facilities and infrastructures is done by the private sector
5) SPC operates the public facilities and infrastructures and collect fee from users.
6) The contract between the Public Company and SPC has a system of profit and loss sharing.
7) The planned traffic volume and revenue were shown by the Public Company to the tenderers on the tender stage.
8) In case that the actual revenue is less than 94% of the planned revenue, the deviation between the actual revenue and 94% of the planned one will be born by the Public Company. In case that the actual revenue is more than 106% of the planned revenue, the deviation between the actual revenue and the 106% of the planned one will be paid by SPC to the Public Company.
9) SPC need to report the actual revenue and traffic volume to the Public Company monthly.
10) Those sharing mentioned at 8) above is done annually and separately in 8 expressways which SPC operates.
11) There are no conditions to be regulated for executing the profit and loss sharing.
12) In case that competing roads are planned near the expressway, the affect is taken into consideration in the planned traffic volume and revenue shown by the Public Company.
13) The deviation happened between the actual revenue and the planned one due to the operation of the competing roads will be born by the Public Company in the case of the loss and paid by SPC to the Public Company in the case of surplus.



2. Item requiring the attention in preparing for degree relating to Revenue Sharing

1) Setting of planned traffic volume and revenue

1-1) How the traffic volume and revenue is planned and set should be clearly shown on the stage of Feasibility Study and the responsibility should be taken by the competent agency.

1-2) How the planned traffic volume and revenue are determined should be clarified on the PPP contract making stage.

2) Procedures for applying for Revenue Sharing

2-1) When the deviation between the planned revenue and the actual revenue is confirmed at the end of the fiscal year, the Revenue Sharing cannot be implemented immediately because the conditions including the Article 50, 51 and 65 are not satisfied. In order to avoid such kind of situation, the review of the planned revenue as well as adjustment of collecting fee and contract duration must be made in the middle of the business year so that the Revenue Sharing can be applied for the first time. Those procedure and the time frame should be clear.

2-2) The scope of the state audit should be simplified and clear.

2-3) The procedure and time frame for using the reserve fund of the Government for Revenue Sharing should be simplified and clear.

3. In the formation of and participation in road related PPP projects

We recognize that the required conditions for implementation of Revenue Sharing seems to be hard and that the hurdle to overcome for successful investment is high. Therefore we would like to have discussions continuously with the Government of Vietnam in the formation of and participation in the PPP projects.

1) Issues to be solved for application of Revenue Sharing

1-1) The Revenue Sharing is applied for the first time only when the actual revenue becomes less than 75% of the planned revenue and it seems that the risk to be taken by the private sector is high.

1-2) The Revenue Sharing is applied only for the case that "Change in master-plan, policy, relevant laws leads to revenue shortfall" as described at b) 2 of Article 82 and it is not applied for such case as that the revenue is decreased due to the unfavorable market conditions.

1-3) The deviation between the planned revenue and the actual revenue, which will be incurred even after the procedures regulated at the Article 50, 51 and 65 are implemented, will be unlikely except for some cases such as;

/the case in which the actual revenue still does not reach 75% of the revised planned revenue even if the fee is increased up to the maximum level allowed by the related regulations.

/the case in which the actual revenue still does not reach 75% of the revised planned revenue even after the fee is increased because the demand runs away due to the expensive level of fee.

/the case in which the duration to be adjusted is longer than land leasing period allowed by regulations.

1-4) The adjustment of the duration of the contract may need the consent from the lenders.

2) North-South Expressway

Our recognition about North-South Expressway (52/2017/QH14) to be constructed and operated from now on is as follows;

① 5 Sections out of 8 are subject to domestic investors for participating in tenders which is supposed to be organized under PPP method. The BOT contract seems to be concluded within this year.

② The implementation of the remaining 3 Sections has been switched from PPP method to Public Works method by the decision of National Assembly (117/2020/QH14). They are supposed to be operated in 2023.

We recognize that the Concession Method, in which the right to operate the highway will be sold to private sector, will be possibly adopted for the maintenance and operation of highway in the 3 Sections mentioned above ② in accordance with O & M type of contract described at d) 1. of Article 45 so that the cost of construction of the highway is recovered by the Government in early stage.

However "Revenue Sharing" described at the Article 82 of the PPP Law is only applied to BOT, BTO and BOO type of contracts and O & M type of contract is out of the application.

However, in the above mentioned 3 Sections of North-South Highway in which the construction may be executed by the public fund and the operation and management may be done by the private, the highway will be handed over to private investors immediately after the completion of the works of the highway without any data of actual traffic volume, and the private investors are likely to accept the risk to be caused by the deviation between the planned revenue and the actual revenue in

the same way as in the implementation of BOT type of contract.

Therefore we would like to have discussions with the Government of Vietnam continuously about the application of Revenue Sharing to O & M type of contracts in the formulation of and participation in road related PPP projects.

3) Expansion of Lanes of Existing Highways

The clause 4 of Article 45 of the PPP Law says, "Regarding project set out in point b clause 9 Article 3 of this Law, the contract type shall not apply the mechanism of collecting fee directly from users." It means that the fee can not be collected from users in renovating, upgrading, expanding, modernizing, operating, conducting business activities of existing facility, infrastructure system. In this matter, we would like to have discussions with the Government of Vietnam continuously about the collection of fee from users in the operation of existing highways which will have an expansion of lanes in the future in case that users have a right of choice of alternative general road as a kind of PPP contract. This idea is respecting the Resolution of the Standing Committee of the National Assembly, No. 437/NQ-UBTVQH14 dated 21 October 2017.

Notes) The Resolution of the Standing Committee of the National Assembly No. 437/NQ-UBTVQH dated 21 October 2017 says that "Regarding to road transportation projects invested with BOT contracts, only new transport routes shall be selected to ensure the right of choices by the people. The existing single roads shall not be improved and upgraded."